

Predict.fun Audit Summary

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Version 2.0

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1 About Cyfrin

Cyfrin is a Web3 security company dedicated to bringing industry-leading protection and education to our partners and their projects. Our goal is to create a safe, reliable, and transparent environment for everyone in Web3 and DeFi. Learn more about us at cyfrin.io.

2 About This Document

This document is a public summary of the security audit Cyfrin performed for Predict.fun on Predict.fun. It records the repositories and commits reviewed, the timeline, auditors, in-scope files, and the number and final status of findings by severity. It closes with Cyfrin's attestation of the review's scope and final remediation status.

It is deliberately abbreviated: the technical detail of individual findings is not reproduced here. The complete audit report, version 2.0 dated February 18, 2026, was delivered to Predict.fun, who retain it as the full record of the engagement. This summary was issued on October 29, 2026.

3 Disclaimer

The Cyfrin team makes every effort to find as many vulnerabilities in the code as possible in the given time but holds no responsibility for the findings in this document. A security audit by the team does not endorse the underlying business or product. The audit was time-boxed and the review of the code was solely on the security aspects of the in-scope code being audited. Unless the scope explicitly notes otherwise, the review is limited to the application layer and does not extend to the correctness of API/SDK/execution environment implementations, compilers, standard and third-party libraries, underlying operating systems and hardware.

4 Copyright and License

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5 Audit Overview

Over the course of 5 days, the Cyfrin team conducted an audit on the Predict.fun code provided by Predict.fun. The findings consist of 1 Medium & 1 Low severity issues with the remainder being informational.

Summary

Project Name	Predict.fun
Repository	prediction-market
Commit	8247e9a6f98e...
Audit Timeline	Jan 21st - Jan 27th, 2026
Methods	Manual Review, Formal Verification

Issues Found

Severity	Found	Resolved	Acknowledged
Critical Risk	0	0	0
High Risk	0	0	0
Medium Risk	1	0	1
Low Risk	1	0	1
Informational	2	0	2
Gas Optimizations	0	0	0
Total	4	0	4

6 Audit Scope

The audit scope was limited to:

```
contracts/ConditionalTokens/CTHelpers.sol
contracts/ConditionalTokens/WhitelistedERC1155.sol
contracts/YieldBearing/Venus.sol
contracts/YieldBearing/YieldBearingConditionalTokens.sol
contracts/YieldBearing/YieldBearingWrappedCollateral.sol
```

7 Risk Classification

	Impact: High	**Impact: Medium**	**Impact: Low**
Likelihood: High	Critical	High	Medium
Likelihood: Medium	High	Medium	Low
Likelihood: Low	Medium	Low	Low

8 Protocol Summary

Predict.fun is a prediction market trading platform that extends the Gnosis Conditional Token Framework with yield-bearing capabilities. The protocol allows users to deposit collateral tokens to receive conditional tokens representing positions in prediction markets, while the underlying collateral is simultaneously deployed to Venus protocol on BNB Chain to generate yield. This dual-purpose design enables prediction market participants to benefit from yield generation on their locked collateral.

The core mechanism centers on three primary operations: splitting, merging, and redeeming positions. When users split positions, they deposit collateral which is converted to Venus vTokens, and receive ERC1155 conditional tokens representing their prediction market positions. Merging reverses this process, burning conditional tokens and returning the underlying collateral by redeeming from Venus. After a prediction market resolves, users can redeem their winning positions for proportional payouts. Throughout these operations, the protocol tracks deposited amounts separately from yield, so that accrued returns can be claimed separately from user principal.

The Venus base contract handles all interactions with the external yield protocol, mapping underlying tokens to their corresponding vTokens. WhitelistedERC1155 implements transfer whitelisting for the conditional tokens. Supporting components include CTHelpers, a library using elliptic curve cryptography to compute condition, collection, and position identifiers, and YieldBearingWrappedCollateral, an ERC20 wrapper used by the NegRiskAdapter for multi-outcome market scenarios.

9 Attestation

Cyfrin attests that it performed a security review of the Predict.fun code provided by Predict.fun.

The repositories, commits, review period and findings with their final status are in the Summary and Issues Found tables in Section 5, and the in-scope files in Section 6. This attestation is limited to the documented scope, audited commits and mitigations specifically reviewed by Cyfrin.

Cyfrin publishes this document and its SHA-256 hash at https://github.com/Cyfrin/cyfrin-audit-reports. To check a copy on macOS or Linux, run the following in the folder that contains it; it prints `OK` when the copy matches. If the copy was renamed, set F to its file name. Before running it, check that the URL is Cyfrin's repository.

```
U=https://github.com/Cyfrin/cyfrin-audit-reports/raw/main/reports/sha256
N=2026-02-18-cyfrin-predict-fun-v2.0.pdf
F=$N
H=$(curl -fsSL $U/$N.sha256 | cut -d' ' -f1)
echo "$H *$F" | shasum -a 256 -c
```

Cyfrin's full audit report with all findings provided to Predict.fun has the SHA-256 hash and file name below. To check a copy of it, first check this document as above, then run the following in the folder that contains the full report; it prints `OK` when the copy matches. If the copy was renamed, set F to its file name.

```
H=498f5c8175e4986fd60f14aeba997b18fc0bc8297062892751da32188d89ccbd
F=2026-02-18-cyfrin-predict-fun-v2.0-full.pdf
echo "$H *$F" | shasum -a 256 -c
```

On Linux, `sha256sum -c` can be used in place of `shasum -a 256 -c`. On Windows, run `Get-FileHash <file> -Algorithm SHA256` in PowerShell and compare the result with the hash.